

CLOUDWALK PAYMENTS INC.

32,348

TRANSACTIONS

501

CUSTOMERS

100

MERCHANTS

630

CARDS

AML / CTF Program Review

Board of Directors & Regulatory Examiner Briefing

Reporting period **2025-03-01 → 2025-11-07 (252 days)** Prepared by **AML Program Manager** Classification **Internal — Confidential**

Candidate: Vitor Cruz — AML/CTF Analyst (US) · Submission 2026-08-24



EXECUTIVE SUMMARY

A moderate-to-high risk profile with a clear remediation path



Three concentrated risk areas

A high-risk-MCC-heavy merchant book, an unauthenticated ECOM channel, and sanctioned-jurisdiction touchpoints.



Four critical control gaps

Each identified gap carries a named owner and a remediation timeline.



Ten alerts investigated in depth

Nine recommended for SAR filing; one escalated pending EDD.



New product: GO — with conditions

OCT instant payouts + crypto on-ramp cleared, contingent on closing the 4 existing gaps.

41%

of merchants carry **high_risk_mcc_flag = True**.

4 merchants meet the OFAC 50% Rule threshold via Iranian UBOs — 3 single-owner + 1 aggregate.



METHODOLOGY & DATASET

A full-population review, not a sample

32,348

transactions

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cards

252

days reviewed

REVIEW FLOW

1

Risk-matrix scoring



2

EDD prioritization



3

Typology detection



4

Top-10 alert casework



5

SAR drafting

- Source tables: Customers_KYC, Merchants_KYB, Transactions, Cards.
- 12 parameterized SQL detection queries run against the complete dataset — fraud, money-laundering, and sanctions typologies.

KEY DATA POINT

676

rule-confirmed alerts generated across 11 typologies (T01–T11) over the review period.



Top risks by residual score

1

Iranian / Russian UBOs in the merchant portfolio

4 merchants meet the OFAC 50% Rule threshold: 3 single Iran-domiciled majority owners (87.35%, 57.03%, 59.17% PEP) + 1 via aggregate ownership across two Iranian co-owners (55.41%).

RESIDUAL

5

2

Planned OCT instant payouts + crypto on-ramp (MCC 6051)

Launching with no production controls yet in place.

RESIDUAL

5

3

Iranian-passport customer C88888 (sanctions_match_score = 0.84)

Subcalibrated at risk_rating = medium / kyc_level = standard.

RESIDUAL

4

87.35% / 59.17%

Iranian UBO ownership stakes across the two most critical single-owner merchant cases — both above the OFAC 50% Rule threshold. Four merchants total meet the threshold, including one aggregate case.



Top risks by residual score, continued

4

Device-sharing / mule aggregation

Up to 12 customers transacting on a single device_id at MCC 4829, across 5,159 shared devices portfolio-wide.

RESIDUAL
4

5

ECOM transactions without 3DS at high-risk MCCs

Enables card-testing and unauthenticated fraud: 5,983 transactions, 33.8% of ECOM volume.

RESIDUAL
4

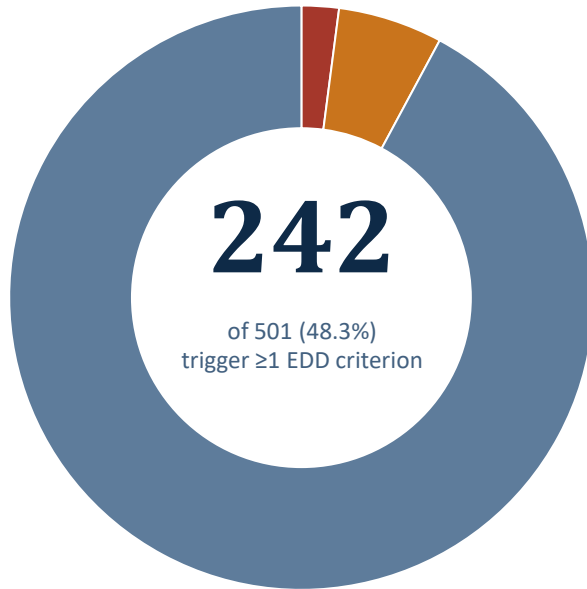
5,159

devices shared by 2+ customers

Mitigating context. Existing controls meaningfully reduce risk for domestic, card-present, low-risk-geography activity — the residual-4 rating reflects the exposed high-risk segments, not the portfolio as a whole.



High-risk customers requiring enhanced due diligence



■ Urgent (5) ■ High (14) ■ Medium (223)

- C88888 (Iranian passport, sanctions 0.84) rated medium/standard — should be HIGH/enhanced.
- 2 Venezuela-domiciled customers (FATF Grey List) rated low/standard — should be HIGH/enhanced.
- 16 PEP customers, all correctly rated high; 4 hold blocked cards, indicating prior risk events.

KEY DATA POINT

214

customers with expected monthly volume above \$5,000 but KYC not yet enhanced — the top case runs \$67,064/month on standard KYC.



Urgent cases and merchant KYB remediation

5 URGENT CASES — remediate within 24–48 hours

C88888

C12380

C12427

C12183

C12470

MERCHANT KYB REMEDIATION

M3004 · CryptoBuy24 + M3025 · RemitFast

MSB registration present and valid. Only minor KYB-refresh and disclosure gaps remain.

M3020 · UAE + M3070 · Brazil

MSB registration missing. M3070 also shows minor beneficial owners and ownership summing to 102.81% — combination supports both an immediate processing hold and a SAR filing.

2 of 100

merchants (M3020, M3070) operate MCC 6011 without a valid MSB registration number.



Confirmed typologies across the portfolio

ALERT VOLUME BY NAMED TYPOLOGY CLUSTER



- 11 confirmed typologies (T01–T11) generated 676 total alerts over 252 days.
- Largest clusters by volume: T04 (342) and T06 (297).
- Higher-severity smaller clusters: T05 (16), T02 (8), T01 (6).
- T10 self-merchant evaluated and NOT confirmed — a name-pool artifact, correctly ruled out rather than force-fitted.

342

customers flagged for 3 or more high-risk-MCC cross-border transactions over the review period.



Confirmed extreme cases & cash-in / cash-out signatures

12

DISTINCT CUSTOMERS

on a single device (dev_shared_4829) at MCC 4829 — one 66-minute session.

45.129.55.210

ONE SHARED IP

the same 12 customers also share a single IP address in ECOM transactions.

104

STRUCTURING POCKET

transactions in the \$980–\$995 band at high-risk MCCs — flagged by pattern, not threshold proximity.

254

CARD-TESTING ATTEMPTS

sub-\$5 ECOM attempts, 70.1% decline rate, across only 22 unique cards.

1

customer (C12261) shows a true cash-in-to-cash-out signature under layered criteria (ATM withdrawal → ≥80%-value remittance within 72 hours).

Guardrail: 489 of 501 customers (97.6%) merely use both MCC 6011 and 4829 at some point — that raw overlap is not diagnostic and is never used as a standalone flag.



Sanctions and jurisdiction exposure

19

Iranian UBOs

21

Russian UBOs

4

OFAC 50% Rule
merchants

3

FATF/OFAC-nexus
customers

- 3 customers with confirmed FATF/OFAC nexus: 1 Iranian passport holder, 2 Venezuela-domiciled.
- 4 merchants meet the OFAC 50% Rule via Iran-linked UBOs — 3 single majority owners (87.35%, 57.03%, 59.17% PEP) + M3098 aggregate 55.41% across two co-owners, neither individually $\geq 50\%$.
- All three majority Iranian UBOs carry near-zero automated sanctions scores (0.11, 0.01, 0.00) — a screening-calibration failure, not a clearance.

0.00

automated sanctions score for a PEP UBO holding 59.17% ownership of an Iran-linked merchant — a false-negative, not a clean result.



SAR SUMMARY

Ten alerts investigated, nine recommended for filing

FILED SAR — LEAD CASE

12-subject coordinated money-mule ring

One shared device, one shared IP. **\$9,664.92** moved in a 66-minute scripted session at RemitFast #361 (MCC 4829, Canada).

Filing institution: Lead Bank (FDIC-member sponsor bank), on behalf of CloudWalk as program manager.

- 10 top-ranked alerts investigated in full casework detail; 9 recommended for SAR filing, 1 escalated pending EDD (C88888).
- Structuring, cash-in/cash-out, and PEP + high-risk-MCC typologies are also represented across the SAR population.

KEY DATA POINT

9 of 10

top-ranked alerts recommended to File. Aggregate subject throughput per case ranges from \$4,374 to \$27,839.

SAR confidentiality preserved under 31 U.S.C. § 5318(g)(2).



Twelve parameterized SQL detection queries

1

Card Testing Rapid low-value ECOM attempts across multiple merchants, confirmed by an approval.

2

Device Sharing 3+ (alert) / 5+ (hard-block) distinct customers on one device within 60 minutes.

3

Quasi-Cash Structuring Repeated tight-band transactions at money-transfer / crypto MCCs.

4

High-Risk Cross-Border Customers transacting with non-US merchants at high-risk MCCs.

5

Chargeback Ratio Outlier Merchants exceeding rolling 30-day chargeback thresholds.

6

ECOM without 3DS Repeated KEYED-entry transactions at high-risk merchants.

7

Cash-In to Cash-Out Layering signature across ATM and money-transfer MCCs.

1 CTE

All thresholds are centralized in a single params block per query — recalibration is a one-line edit, not a rewrite of logic.



Query coverage continued, and confirmed results

- 8

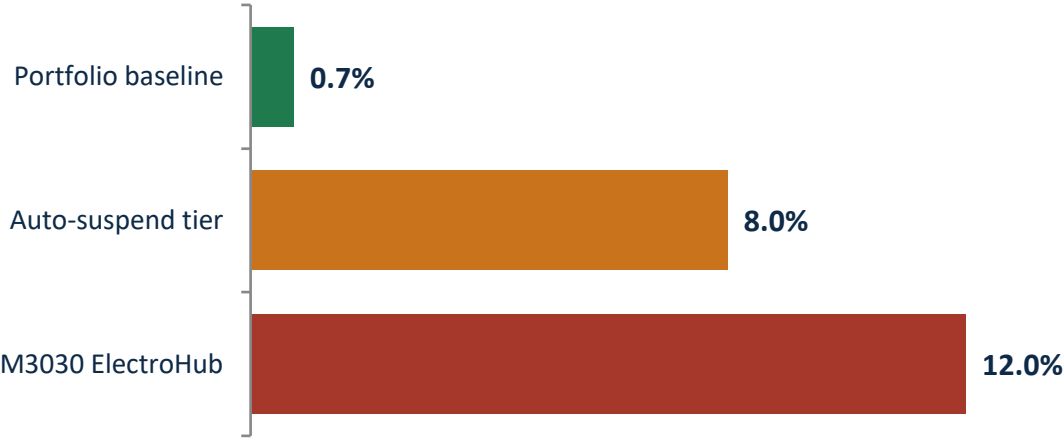
IP Address Ring
3+ distinct customers sharing one IP in the ECOM channel.
- 9

PEP in High-Risk MCC
PEP customers transacting above their expected ticket size.
- 10-12

Jurisdiction & Velocity
FATF/OFAC nexus · UBO high-risk-jurisdiction screening · prepaid velocity.

Program precision floors: ≥10% single-signal · ≥5% combination/network rules.

CONFIRMED EXTREME RESULT



M3030 (ElectroHub #330) runs a **12% chargeback ratio** vs a ~0.73% baseline — well above the 8% auto-suspend tier. dev_shared_4829 hits 12 customers, 2.4× the hard-block threshold.



Board dashboard — six headline KPIs

- High-risk MCC concentration
- Cross-border transaction rate
- Portfolio chargeback ratio
- SARs filed
- Sanctions / PEP / UBO exposure
- ECOM authentication gap

INVESTIGATION SLA FRAMEWORK

P1 · Critical

1-hour acknowledgment · 24-hour investigation · 48-hour decision

P2 · High

5 business days

P3 · Standard

15 calendar days

QA targets: ≥95% pass rate · ≥90% investigator-QA concordance · ≤8% rework rate. Board notification triggers are pre-defined for every KPI.

9 + 1

SARs filed plus escalations this cycle, against a 41% high-risk-MCC concentration and a 0.73% portfolio chargeback ratio.



Examiner dashboard — fifteen detailed KPIs

- Detailed KPI set for regulatory examination: alert volume by typology, EDD completion tracking, average investigation time by SLA tier.
- 242 EDD cases opened (5 URGENT / 14 HIGH / 223 MEDIUM); completion tracking begins at monitoring go-live.
- Full typology breakdown (T01–T11) with confirmation status and formula traceability back to source data fields.
- False-positive rate not yet measured — this is the pre-live-monitoring baseline; precision floors are pre-committed for tuning.

KEY DATA POINT

81.7 / mo

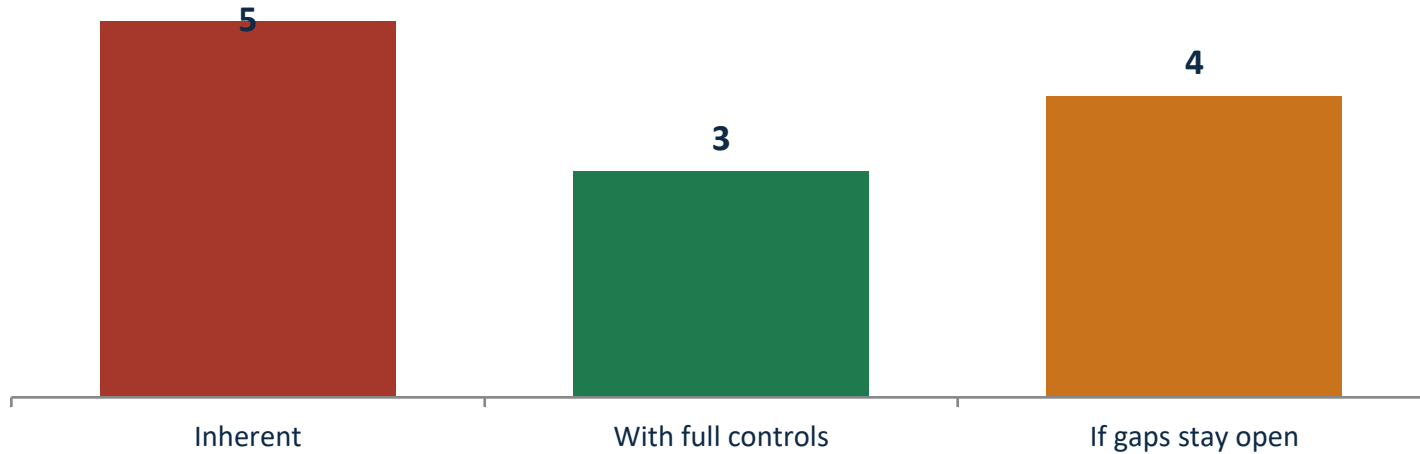
average monthly alert volume (676 alerts across the 252-day reporting period) — the baseline against which future volume shifts are measured.



NEW PRODUCT

OCT instant payouts + crypto on-ramp — pre-launch assessment

RESIDUAL RISK UNDER CONTROL SCENARIOS



CRITICAL DEPENDENCY

Subcalibrated Iran/Venezuela ratings, the 2 MSB gaps, and the unresolved OFAC 50% Rule cases must close first.

VERDICT **GO — WITH CONDITIONS**

- Inherent risk 5/5 (Critical) — amplifies existing structuring, mule-ring, and Iran-nexus exposure rather than creating new categories.
- Full control set (velocity limits, geofencing, MCC blocklist, mandatory 3DS, tiered KYC, VASP screening) reduces residual to 3/5.
- Must not launch on top of the 4 unremediated gaps, or effective residual reverts to 4/5.

1,687

existing MCC 6051 transactions already contain sub-threshold structuring pockets — the on-ramp would scale an already-abused channel.



A governed roadmap for AI-assisted investigations

01

WORKFLOW

SAR Narrative Auto-Draft

Extractive / constrained compositional summarization recommended over free generative drafting — for hallucination control and auditability.

02

WORKFLOW

Tier-1 Alert Triage Summarization

Model-assisted prioritization with mandatory human sign-off before any escalation decision.

CROSS-CUTTING CONTROLS

PII minimization at the prompt layer · bias mitigation across name / country / ethnicity · model reproducibility · **full SAR confidentiality preservation (31 U.S.C. § 5318(g)(2)).**

Implementation path: phase in Workflow 2 (triage) before Workflow 1 (drafting), given the lower regulatory stakes of a summarization aid.

Extractive

architecture chosen for regulatory defensibility — every generated fact traces to a validated source field.



RECOMMENDATIONS & NEXT STEPS

A clear path to full program effectiveness

1

24–48 HOURS

- Upgrade C88888 and both Venezuela customers to high risk / enhanced KYC.
- Escalate all 4 Iranian-UBO merchant cases (M3001, M3012, M3056 single-owner; M3098 aggregate) to Legal / CCO.

2

30 DAYS

- Deploy device-sharing (Query 2) and card-testing (Query 1) rules to production.
- Complete MSB registration remediation for M3020 and M3070.

3

90 DAYS

- Run the full QA/SLA framework through its first live monitoring cycle.
- OCT + crypto on-ramp launch only after all 4 enterprise gaps are verified closed.

GOVERNANCE Quarterly CloudWalk–Lead Bank committee tracks all items above. All 4 enterprise gaps already have named owners and deadlines (Task 1.1 Risk Matrix).